UPI and BNPL impact

Impact of other payments products

The growth of digital payments has disrupted the credit card industry lately. The penetration of smartphones and affordable internet prices, along with almost all merchants having the required permissions in place, have enabled a rapid increase in the Unified Payments Interface (UPI) transactions in recent years. At the same time, many FinTech players are providing credit cards in collaboration with traditional banks and digital lending via buy now pay later (BNPL), equated monthly instalment (EMI) and other services. In the following sections, each of these products is discussed in detail, along with its impact on the credit card industry.

- **UPI**
  Currently, only RuPay cards are allowed to be linked to the UPI apps. Now, the RBI has permitted the linking of credit cards to UPI. This can facilitate quick response (QR)-based payments at physical stores using credit. Moreover, it will simplify the payments processes for consumers because it will allow various payment methods from a single app.
  The RBI has specified that the linkage should have a clear differentiation between person to merchant (P2M) and person to person (P2P) transactions, as the success of UPI as a payment rail will depend on the differentiated charges and service fees being applicable across the value chain. However, transactions may end up becoming expensive in the process as earlier, these did not require payment of additional fees to the card issuers.
  For example, the merchant discount rate (MDR) that contributed to 1–2% of the overall amount, and interchange fees – which contributed to 1.81% of the overall amount transacted for point of sale (PoS) systems11 – were exempted earlier. For the specific use case of linking UPI with credit cards, there will be a need for an MDR that remunerates participants across the transaction value chain to maintain the value propositions offered by credit cards as a consumer credit-based financial product.
  The guidelines may also impact chargebacks, frauds handling, customer compensation, turnaround time (TAT) for query resolutions, etc. Presently, more clarity on the same is awaited from the RBI.
- **BNPL**
  The BNPL sector in India has witnessed an exponential growth in the past few years. BNPL total transaction volume is expected to surge at a CAGR of 67% since inception and reach 2 billion by FY 2025–26.12 However, currently, the adoption of BNPL is limited by the fact that it has a credit limit ranging from a couple thousand to INR 1 lakh. In addition, it is not widely accepted across merchant websites and retail outlets as card payments.
  Keeping this in mind, BNPL can be viewed as a service complementary to the credit cards. As more BNPL providers and products enter the growing market space, customer needs are being prioritised. Banks and traditional lenders can therefore look at BNPL as an opportunity rather than a contender.
  The millennial and Gen-Z customers are currently looking for alternatives rather than paying interest on credit cards. This is forcing traditional lenders to be more competitive. As the digital world evolves at a faster pace, people expect financial services to provide various options to improve customer experiences.
  BNPL offerings provide feasible credit-based payment options to the unbanked and underbanked customers. Issuers can leverage the advancements in technology to access and aggregate customer data in order to make better credit decisions for customer segments that fall out of the traditional credit metrics. Recent RBI guidelines restricting the business model have impacted the growth of this financial product. This has prompted the players to re-invent the offering and business model in order to remain compliant with the new guidelines. It is expected that BNPL players will re-invent their offerings to provide credit-card based BNPL – a model more prevalent in other countries. These offerings will be closer to pure play credit cards.
  Further, KYC and collection of BNPL dues will remain as the two main focus areas for the issuers. It is expected that this will ensure compliance of the KYC terms by FinTech entities and implement changes for a better risk management infrastructure. Moreover, making use of an account aggregator framework will help in overcoming this problem. Tie-ups with financial institutions and using their networks for issuance and collection will further impart the much-needed stability to payments operations.